UNITED STATES BANKRUPTCY COURT
WESTERN DISTRICT OF KENTUCKY
LOUISVILLE DIVISION

In re: INSIGHT TERMINAL SOLUTIONS, LLC, *et al.*, Debtors.	Chapter 11 Case No. 19-32231 (Jointly Administered)
INSIGHT TERMINAL SOLUTIONS, LLC, as the Reorganized Debtor, Plaintiff, v. CITY OF OAKLAND, Defendant.	Adv. Proc. No. 24-03007-jal Judge Joan A. Lloyd

DEFENDANT CITY OF OAKLAND'S MEMORANDUM OF LAW IN SUPPORT OF MOTION TO DISMISS

I. PRELIMINARY STATEMENT

1. On November 3, 2020, this Court entered its order confirming prepetition lender Autumn Wind Lending, LLC ("AWL")'s plan of reorganization for the bankruptcy estate of chapter 11 debtor Insight Terminal Solutions, LLC ("ITS" or "Reorganized Debtor"). (Dkt. 378) ("Plan"). Three and a half years later, Plaintiff Reorganized Debtor ITS, now controlled by California-based AWL, files this adversary complaint (the "Complaint") asserting two business interference tort claims under California law against the City of Oakland ("Defendant" or the "City"), a California city with regard to actions that allegedly began a decade ago in California. This alone should raise the Court's brow on whether this Court has jurisdiction. But the death knell for jurisdiction here is

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Plaintiff,
v.
CITY OF OAKLAND,
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arise in or under the Bankruptcy Code. Simply, this Court does not have core or non-core jurisdiction to adjudicate this adversary.

2. The Complaint claims the City had a contract with Oakland Bulk and Oversized Terminal ("OBOT"), a primary leaseholder of City-owned land in the former Oakland Army Base that ITS wished to sublease from OBOT. The Complaint further alleges that, over a decade ago, the City took actions regarding that OBOT Ground Lease that constitute tortious interference with its own partnership with OBOT that resulted in this 2019 bankruptcy. Indeed, OBOT and the City have been litigating the validity of this Ground Lease in state and federal court for years, and that litigation remains ongoing in the appellate courts in California. Notably, that litigation has not been favorable to OBOT's business torts claims or damages claims (the same "over $1 billion" in future lost profits which ITS now tries to claim here). ITS now wants a court outside of California to look at overlapping claims under California law.

3. However, even if this Court were to find jurisdiction in this bankruptcy proceeding, these tort claims fail under California law and must be dismissed for independent dispositive reasons: 1) there is no common law right to sue a city directly in tort in California; 2) any claims based on City action from 2014-2019 are plainly time-barred; 3) with respect to the more recent allegations, the claims fail because the City has a right to enforce the status quo with regard to the Ground Lease pending appeal under well-established California law, see Daly v. San Bernardino Cnty. Bd. of Supervisors, 11 Cal.5th 1030, 1041 (2021); and 4) California law does not permit a breach of contract as the sole predicate for interference with prospective advantage.

4. The Complaint is facially deficient for which there can be no reasonable dispute. ITS's claims that this Court has jurisdiction, and that the City is liable to ITS under California law are not just frivolous, they were made in bad faith to avoid California law. The case should be dismissed in its entirety with costs to the City.

II. FACTUAL BACKGROUND

5. Plaintiff ITS purports to sue Defendant City for business interference torts arising from a proposed development project on City-owned land at the former Oakland Army Base in

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that this alleged business torts were never listed on ITS's schedules, never addressed in the Plan (and do not pertain to the Plan or the Estate), and certainly do not arise in or under the Bankruptcy Code. Simply, this Court does not have core or non-core jurisdiction to adjudicate this adversary.

2. The Complaint claims the City had a contract with Oakland Bulk and Oversized Terminal ("OBOT"), a primary leaseholder of City-owned land in the former Oakland Army Base that ITS wished to sublease from OBOT. The Complaint further alleges that, *over a decade ago*, the City took actions regarding that OBOT Ground Lease that constitute tortious interference with its own partnership with OBOT that resulted in this 2019 bankruptcy. Indeed, OBOT and the City have been litigating the validity of this Ground Lease in state and federal court for years, and that litigation remains ongoing in the appellate courts in California. Notably, that litigation has not been favorable to OBOT's business torts claims or damages claims (the same "over $1 billion" in future lost profits which ITS now tries to claim here). ITS now wants a court outside of California to look at overlapping claims under California law.

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4. The Complaint is facially deficient for which there can be no reasonable dispute. ITS's claims that this Court has jurisdiction, and that the City is liable to ITS under California law

Oakland, California, which was intended to be developed as a bulk commodity terminal by ITS's business partner and proposed landlord, OBOT.

6. The City and OBOT entered into a series of development-related contracts, beginning in 2012, including a Ground Lease for the West Gateway property. OBOT in turn entered into a proposed sublease for that property with ITS in 2018. ITS now claims that the City's actions beginning in 2014 through the present interfered with its sublease of the land from OBOT and other unnamed future contracts and profits from the development. But the validity of contracts in question (the 2016 Ground Lease between OBOT and the City, and, accordingly, the 2018 proposed sublease between OBOT and ITS) is the exact subject of currently pending and ongoing California state court litigation. See OBOT v. City of Oakland, Alameda County Superior Court Case No. RG18930929; First District Court of Appeal Case No. A169585. The City briefly explains the parties, the contracts, and the litigation background, before addressing the relevant aspects of the ITS bankruptcy proceedings, and this new 2024 adversary proceeding, identifying in particular information that ITS neglected to tell the Court regarding the prior and pending proceedings.

A. The Developers, the City, and the Development Contracts

7. Defendant City of Oakland is a municipal corporation formed under the laws of California and owns the West Gateway land. (Adv. Dkt. 1, ¶ 17.) The California Capital Investment Group ("CCIG") is an Oakland-based real estate development firm chosen by the City to help develop the former Army Base. (Id., ¶ 2.) OBOT was created and is owned by CCIG for purposes of the West Gateway bulk commodity terminal project. (Adv. Dkt. 1, Ex. B at 1 & 3.)

8. Plaintiff ITS is an entity originally created by an executive with Kentucky-based Bowie Resource Partners, for purposes of partnering with OBOT in the bulk terminal project. See Oakland Bulk & Oversized Terminal, LLC v. City of Oakland, 321 F.Supp.3d 986, 989 (N.D. Cal. 2018) (OBOT I), aff'd, 960 F.3d 603 (9th Cir. 2020). As this Court is aware, ITS filed its petition for relief under chapter 11 in this Court in 2019, and subsequent to plan confirmation, has been owned and controlled by Los Angeles-based AWL. (Dkt. 378).

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II. FACTUAL BACKGROUND

5. Plaintiff ITS purports to sue Defendant City for business interference torts arising from a proposed development project on City-owned land at the former Oakland Army Base in Oakland, California, which was intended to be developed as a bulk commodity terminal by ITS's business partner and proposed landlord, OBOT.

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9. The 2013 Development Agreement ("DA") between CCIG and the City governed the regulatory framework that would apply to the development projects on the old Army Base property. *OBOT I*, 321 F. Supp. 3d at 989. That DA, as is typical, set forth parameters for freezing existing laws and conditions under which the City could enact and apply new legislation. *Id.* at 992. Also typical, the DA reserved the City's rights to apply all existing regulatory requirements, including permitting, and state and local environmental compliance requirements. *Id.*

10. The 2016 West Gateway Ground Lease ("Ground Lease") was the real estate transaction by which the City transferred possession of the land and set forth the permitted and required uses, in exchange for the payment of rent to the City. (Adv. Dkt. 1, Ex. B at 42–48, 69.) The Ground Lease required OBOT to commence construction of the terminal and related rail by specific deadlines. (*Id.*, Ex. B at 48.) The Ground Lease expressly did not restrict the City's regulatory authority. (*Id.*, Ex. B at 40-41.)

11. In June 2016, the City invoked the DA provisions for new health and safety regulations to pass an Ordinance and Resolution regulating the storage and handling of coal in

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11. In June 2016, the City invoked the DA provisions for new health and safety regulations to pass an Ordinance and Resolution regulating the storage and handling of coal in Oakland, including at the proposed West Gateway project. OBOT I at 991. As discussed below, this resulted in the first litigation between OBOT and the City.

12. The deadline set forth in the Ground Lease to commence construction of the terminal and related rail was August 14, 2018 at the latest. (Adv. Dkt. 1, Ex. B at 34, 48–49.) OBOT failed to meet that deadline, claiming force majeure extension based on actions including the 2016 Ordinance that were known or foreseeable at the time of the Ground Lease. (Id. at 34.) The City rejected those claims, called default and terminated pursuant to the contract terms on November 22, 2018. (Id. at 85-86.)

13. After OBOT's default under the Ground Lease, OBOT and ITS entered into the ITS sublease ("Sublease") on September 24, 2018, assuming OBOT's responsibilities to develop the terminal in exchange for significant upfront and continuing monetary payments by ITS to OBOT. (Adv. Dkt. 1, ¶ 4; Request for Judicial Notice ("RJN")[1], Ex. B at 13-20.) The City is not a party.

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[1] Attached hereto as Exhibit A, the Request for Judicial Notice. "When a court is presented with a Rule 12(b)(6) motion, it may consider the Complaint and any exhibits attached thereto, public

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(Id.) Because OBOT and ITS entered into the Sublease after OBOT defaulted, and in light of the express WGW Lease terms barring all subleases during a default, the City never approved or recognized the sublease under the WGW Lease. (Id., ¶ 9 & Ex. B at 81.)

B. Prior and Pending Federal and State Litigation

14. In December 2016, OBOT sued the City in federal court in California, challenging the City's authority to enact and apply the coal Ordinance and Resolution to the project, including as a breach of the DA. Oakland Bulk & Oversized Terminal, LLC v. City of Oakland ("OBOT I"), Case No. 16-cv-07014-VC (N.D. Cal.). In May 2018, the Court concluded the City had not met the requisite standard for imposing new health and safety legislation, and concluded the City thereby breached the DA. (OBOT I, 321 F. Supp. 3d at 988-89.) The City appealed, and the Ninth Circuit eventually affirmed. Oakland Bulk & Oversized Terminal, LLC v. City of Oakland ("OBOT II"), 960 F.3d 603, 607 (9th Cir. 2020).

15. Significantly, in that federal litigation, OBOT expressly waived damages. (Adv. Dkt. 1, Ex. B at 90 n.38.) OBOT also pled relief from the Ground Lease deadlines but also abandoned that equitable relief. (See Adv. Dkt 1, Ex. B at 3-4; 90 n.38.)

16. In December 2018, after the City terminated the Ground Lease, OBOT sued the City again in state court, the Alameda County Superior Court (the "Superior Court"), this time for hundreds of millions of dollars. (RJN, Ex. B at 3-4.) OBOT initially pled both contract and tort claims, including tortious interference with the ITS (then TLS) sublease. (Id. Ex. A.) On May 16, 2019, the Superior Court dismissed the tort claims on the ground that OBOT had failed to identify a statutory predicate for suing the City in tort and otherwise failed to state a claim. (Id., Ex. A at 6.) OBOT did not attempt to reallege those torts in its operative amended complaint. (Adv. Dkt. 1, Ex. B at 4).

17. After a bench trial, the Superior Court agreed with the City that res judicata partially barred OBOT's claims in light of the federal litigation. (Adv. Dkt. 1, Ex. B at 90 n.38.) That

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records, items appearing in the record of the case and exhibits attached to defendant's motion to dismiss so long as they are referred to in the Complaint and are central to the claims contained therein. See Bassett v. Nat'l Collegiate Athletic Ass'n, 528 F.3d 426, 430 (6th Cir. 2008) (quoting Amini v. Oberlin Coll., 259 F.3d 493, 502 (6th Cir.2001).

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17. After a bench trial, the Superior Court agreed with the City that *res judicata* partially barred OBOT's claims in light of the federal litigation. (Adv. Dkt. 1, Ex. B at 90 n.38.) That court also concluded that OBOT had failed to meet the contract construction deadlines, but concluded that events of *force majeure* after May 15, 2018 warranted granting an extension, and therefore concluded the City's termination of the Ground Lease was a breach. (*Id.*, Ex. B at 89-91.)

18. The trial court then conducted a further bench trial on remedies. (RJN, Ex. B at 2-3.) OBOT asserted its right to elect either an specific performance remedy of a contract deadline extension plus $20 million in equitable damages, or $160 million in present-day value of its claimed

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approximately $1 billion in lost future profits from the ITS Sublease over the life of the Ground Lease as contract damages. (*Id.*) *The Court rejected OBOT's lost profits claims as entirely speculative and granted zero dollars in lost future profits* (including both the $20 million in incidental damages, and reducing the $160 million in contract damages to $300,000 in actual costs). (*Id.*, Ex. B at 14, 19-29.) OBOT elected specific performance remedy of a contract extension and the trial court entered judgment on January 23, 2024. (*See* Adv. Dkt. 1, Ex. A.)

19. Immediately upon entry of judgment, the City filed its notice of appeal, (RJN, Ex. C.), which triggers the automatic stay pending appeal doctrine under California law set forth in *Daly v. San Bernardino Cnty. Bd. of Supervisors*, 11 Cal.5th 1030, 1041 (2021). That appeal remains pending, *see* California Court of Appeal, First District, Case No. A169585.

C. ITS Bankruptcy Proceedings and 2020 Plan Confirmation

20. Following defaults on money owed to OBOT, AWL, and others, ITS filed a voluntary chapter 11 petition in this Court on July 17, 2019 (the "Petition Date"), commencing Case No. 19-32231 (the "ITS Bankruptcy"). (Dkt. 1.) ITS disclosed estimated assets of $1,000,001 to $10 million and estimated liabilities of $10,000,001 to $50 million in its petition. (*Id.* at 3.)

21. ITS did not list the City as a notice party in its petition. (Dkt. 1.) Nor did ITS schedule the City as a creditor. (Dkt. 63 at 13-18 of 31.)

22. ITS' Schedule A/B filed on August 22, 2019 disclosed its proposed Sublease of 19 acres at the former Oakland Army Base. Although now claiming that the City's actions purportedly drove ITS into bankruptcy, neither its original nor amended Schedule A/B disclose any cause of action held against the City as of the Petition Date. (*Id.* at 8-12 of 31; *see also* Dkt. 105-1 at 1-5.)

23. AWL filed a motion to dismiss the ITS Bankruptcy on July 25, 2019. (Dkt. 13). Therein, AWL asserted that the ITS Bankruptcy was "commenced as a stalling tactic to allow [Mr. John] Siegel [the former non-member Manager of ITS from formation until November 5, 2020] …

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21. ITS did not list the City as a notice party in its petition. (Dkt. 1.) Nor did ITS schedule the City as a creditor. (Dkt. 63 at 13-18 of 31.)

22. ITS' Schedule A/B filed on August 22, 2019 disclosed its proposed Sublease of 19 acres at the former Oakland Army Base. Although now claiming that the City's actions purportedly drove ITS into bankruptcy, neither its original nor amended Schedule A/B disclose any cause of action held against the City as of the Petition Date. (Id. at 8-12 of 31; see also Dkt. 105-1 at 1-5.)

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to retain the Sublease in what is essentially a two-party dispute involving quintessential state law issues." (*Id.* at 5.) The two parties referenced there were AWL and ITS, not the City.

24. On August 20, 2019, ITS stated in its objection to AWL's motion to dismiss that the ITS Bankruptcy was filed to protect its commercial development Project that had been disrupted due to *three* distinct factors: (1) litigation stemming from the alleged actions of the City (the "Oakland Overburden"); (2) the Sublease, which had been declared in default by OBOT for failure to pay rent and faced the threat of termination; and (3) AWL had sought to foreclose on its security interest in ITS' membership interests upon ITS' uncured defaults under the terms of the parties' loan documents. (Dkt. 61, ¶ 1.) Per its objection, ITS filed its case with the intent "to utilize the benefits and protections of chapter 11 to identify a takeout lender or investor that will allow [ITS] to move forward with the Project or locate a buyer of the Sublease." (*Id.*, ¶ 2.)

25. On April 27, 2020, AWL filed its Disclosure Statement and plan of reorganization ("Plan"). (Dkts. 245, 245-1.) According to the Disclosure Statement, the Sublease is ITS's "sole *potential* asset of substantial value". (Dkt. 245, Art. III, ¶ A.) ITS did *not* identify any potential claims against the City, as of that time, as assets (let alone claims worth a purported $1 billion).

26. AWL's Plan contains several other provisions, in pertinent part:

(a) *On the Effective Date, all existing Interests in ITS shall be cancelled* and rendered null and void. (Dkt. 245, Art. V, ¶ A.)

(b) *AWL shall be the sole member of the Reorganized Debtor* as of the Effective Date of the Plan. (*Id.*, Art. VI, ¶ D.)

(c) *All Allowed General Unsecured Claims are unimpaired under the Plan and to be paid in full.* (*Id.*, Art. III, ¶ B.)

(d) *The Plan will be funded by* ITS' cash reserves as of the Petition Date, and *AWL's Cash Contribution of $5 million* for the benefit of Allowed Class 3 (General Unsecured Claims), *with any remaining funds to revert to AWL.* (*Id.*, Art. V, ¶ E.)

(e) Per the affidavit of Vikas Tandon, Chief Investment Officer of Ridgedale Partners, LLC, the ultimate parent of AWL and JMB Capital Partners Master Fund, L.P.

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V. CONCLUSION

69. For the foregoing reasons, the City respectfully requests that the Court dismiss with prejudice the Complaint in its entirety pursuant to Rule 12(b)(1) for lack of subject matter jurisdiction, or in the alternative pursuant to Rule 12(b)(6) for failure to state a claim, and grant any such other and further relief as the Court deems appropriate.

Dated: May 1, 2024

By: /s/ April A. Wimberg
April A. Wimberg
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Dated: May 1, 2024

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April A. Wimberg
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Attorneys for Defendant,
CITY OF OAKLAND

CERTIFICATE OF SERVICE

The undersigned hereby certifies that a true and accurate copy of the foregoing was served electronically upon all parties in the electronic filing system in this Adversary Proceeding.

Dated: May 1, 2024

By: /s/ April A. Wimberg
April A. Wimberg
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